| | | |
|---|---|---|
| T2 | Recording transactions in general journal. | **Chapter 3:**<br>First hour activity: DQ 3.7, Ex 3.4, Ex 3.5, Ex 3.6<br>Second hour activity: P 3.16 part a)<br>**Worksheets/templates available on Moodle site.** |
| T2 | • Recording transactions in general journal<br>• Posting to ledgers<br>• Trial balance | **Chapter 3:**<br>First hour activity: Ex 3.7, Ex 3.13, P 3.17 - part b) and c)<br>Second hour activity: P 3.17<br>**Worksheets/templates available on Moodle site.** |

7. Recently, a new student of accounting was overheard making the following remarks: 'Why are we learning how to use the double-entry system of recording in the accounting cycle? Surely there are good computer packages available these days which can handle all of these details.' Provide a suitable reply.

Students must know the accounting cycle manually so that they can determine what a computer package is doing in the accounting cycle, and so that they can correct any intentional and unintentional discrepancies which can arise from time to time in computer packages. Furthermore, some packages have their limitations and it is wise for the student to know what a package can and cannot do for the entity concerned. Much of this knowledge can be gained by preparing a set of accounts both manually and on computer.

Furthermore, in practice, some small clients still do not use computers to keep their accounting records.

By learning how to prepare accounts manually students learn the relationship between transactions in an entity and how they impact on the financial statements. Although this may be possible with a computer package the relationship is not as obvious. An accountant with experience should be able to look at the financial statements produced by a computer and tell if they are reasonable given their knowledge of the business. Understanding the accounting process in the detail required to be able to prepare manual accounts assists in developing these decision making skills.

**Exercise 3.4**

**Normal balance and classification in financial statements**

**The accounts below appear in the chart of accounts of Illuminate Electrical Services. Show whether the normal balance is a debit or a credit. Indicate whether the account would appear in the balance sheet or in the income statement, and under what classification, e.g. liability, asset, equity, income or expense.**

**1. Service Vehicles**
**2. Repairs Expense**
**3. Prepaid Insurance**
**4. Accounts Payable**
**5. Unearned Service Fees**
**6. Telephone Expense**
**7. Accounts Receivable**
**8. Electrical Supplies**
**9. L.C. Bright, Drawings**
**10. GST Payable**
**11. GST Receivable**
**12. Mortgage Payable**
**13. Interest Revenue**
**14. L. C. Bright, Capital**
**15. Electrical Services Revenue**
**(LO2)**

| BRIGHTSPARK ELECTRICAL SERVICES | | | |
|---|---|---|---|
| | **Item** | **Normal Balance** | **Statement** |
| 1. | Service Vehicles | Debit | Balance sheet/Statement of financial position (asset) |
| 2. | Repairs Expense | Debit | Income statement (expense) |
| 3. | Prepaid Insurance | Debit | Balance sheet/Statement of financial position (asset) |
| 4. | Accounts Payable | Credit | Balance sheet/Statement of financial position (liability) |
| 5. | Unearned Services Fees | Credit | Balance sheet/Statement of financial position (liability) |
| 6. | Telephone Expense | Debit | Income statement (expense) |
| 7. | Accounts Receivable | Debit | Balance sheet/Statement of financial position (asset) |
| 8. | Electrical Supplies | Debit | Balance sheet/Statement of financial position (asset) |
| 9. | L.C., Bright, Drawings | Debit | Balance sheet/Statement of financial position (deduction from equity) |
| 10. | GST Payable | Credit | Balance sheet/Statement of financial position (liability) |
| 11. | GST Receivable | Debit | Balance sheet/Statement of financial position (asset) |
| 12. | Mortgage Payable | Credit | Balance sheet/Statement of financial position (liability) |
| 13. | Interest Revenue | Credit | Income Statement (income) |
| 14. | L.C. Bright, Capital | Credit | Balance sheet/Statement of financial position (equity) |
| 15. | Electrical Services Revenue | Credit | Income Statement (income) |

**Exercise 3.5**

**Recording transactions in general journal and analysis**

**Fanatic Fone Fixers' chart of accounts contained the following accounts: Cash at bank; Accounts receivable; Equipment; Accounts payable; T. Hudson, drawings; Service fees; Salaries expense; and Promotional expense. Ignore GST.**

**The following transactions occurred during the month of March:**

| | |
|---|---|
| June 1 | T. Hudson withdrew $620 cash for personal use. |
| 5 | Purchased new equipment for $3000. Paid $500 deposit with a bank transfer and the balance to be paid within 60 days. |
| 9 | Paid for promotion to an online search engine provider, $460. |
| 14 | Paid $240 to creditors for office supplies that had been purchased on credit in the previous month. |
| 18 | Paid salaries of $680. |
| 22 | Received $300 from customers to reduce their account balances. |
| 30 | Service fees of $15 000 were earned during the month. Of this, 70% of the fees were collected via direct debit and 30% will be paid within 60 days. |

**Required**

**(a) Prepare the general journal entries to record the transactions (ignore GST).**

**(b) For each transaction above, prepare an analysis similar to those shown in illustrative examples in this chapter of the text.**

(a)

**FANTASTIC FONE FIXERS**
(ignoring GST)

| | | | | |
|---|---|---|---|---|
| June | 1 | T. Hudson, Drawings | $620 | |
| | | Cash at Bank | | $620 |
| | | T. Hudson withdrew $620 for personal use. | | |
| | 5 | Equipment | 3 000 | |
| | | Cash at Bank | | 500 |
| | | Accounts Payable | | 2 500 |
| | | Purchased equipment for bank transfer $500 and the balance payable in 60 days. | | |
| | 9 | Promotional Expense | 460 | |
| | | Cash at Bank | | 460 |
| | | Payment for electronic advertising. | | |
| | 14 | Accounts Payable | 240 | |
| | | Cash at Bank | | 240 |
| | | Payment to suppliers. | | |
| | 18 | Salaries Expense | 680 | |
| | | Cash at Bank | | 680 |
| | | Payment for newspaper advertisements. | | |
| | 22 | Cash at Bank | 300 | |
| | | Accounts Receivable | | 300 |
| | | Cash receipts from credit customers. | | |
| | 30 | Cash at Bank | 10 500 | |
| | | Accounts Receivable | 4 500 | |
| | | Service Fees Revenue | | 15 000 |
| | | Service fees received and receivable. | | |

(b)

| | | |
|---|---|---|
| June | 1 | This transaction is a withdrawal of assets from the business by the owner and is not an expense related to the earning of income. A debit is made to the Drawings account to reflect the decrease in the owner's investment in the business, and the decrease in the Cash at Bank account is recorded by a credit. |
| | 5 | The Equipment account is increased to record the purchase by debiting the account. At the same time, Cash at Bank is decreased by crediting the account for the amount of the deposit paid, and a liability, Accounts Payable is increased by crediting the account for the amount payable in 60 days. |
| | 9 | Promotional costs are an expense of the business to reflect the cost of advertising services received as supplied by online search engine provider. The business pays the provider for the services rendered to the business by crediting the Cash at Bank account and debiting the Promotional Expense account. |
| | 14 | The supplies had been purchased in the previous month; hence, an Accounts Payable liability account would have been credited at that time. This month, the payment of the Accounts Payable is recorded by reducing the liability account (debit) and reducing the Cash at Bank account (credit) for the amount of the payment. |
| | 18 | Salaries are an expense of the business to reflect the cost of services received by the business from its employees. The business pays its employees for the services they have rendered to the business by crediting the Cash at Bank account and debiting the Salaries Expense account. |
| | 22 | The receipt of cash from credit customers is recorded by a debit to the Cash at Bank account; and Accounts Receivable is credited to reduce the amount owing to the business by these customers. Services have previously been supplied to the customers by the business, and this transaction reflects the receipt of cash from these customers. |
| | 30 | This is an income transaction reflecting the amount of printing fees received or receivable for the month of March. Hence, a revenue account, called Service Fees Revenue, is credited and Cash at Bank is debited for the amount received from customers who paid via direct debit. For credit customers, an asset, Accounts Receivable, is debited to record the amount owing by these customers for services received by them from the business in March. |

**Exercise 3.6**

**Account titles and types**

**Each of the following items describes aspects of the business of Caitlin Cox, lawyer.**

1. **Cash which Caitlin Cox has withdrawn from the business for personal use**
2. **Photocopiers, document binding machine and computers**
3. **Amounts owing by the business to suppliers of an online legal database**
4. **Amounts owing by customers for cases completed**
5. **Tables, wall shelving and book cabinets for staff offices**
6. **GST charged to clients for legal services**
7. **Money borrowed from a bank**
8. **Lease rental on premises which should have been paid 1 month ago**
9. **Supplies held for future document preparation**
10. **Insurance premium paid in advance to cover the next 6 months.**

**Required**
**(a) Suggest an account title for each item described.**
**(b) Classify the item as an asset, liability, equity, income or expense.**
**(LO2)**

1. C. Cox, Drawings – Equity

2. Office Equipment – Asset

3. Accounts Payable – Liability

4. Accounts Receivable – Asset

5. Office Equipment – Asset

6. GST Payable – Liability

7. Bank Overdraft/Loan Payable – Liability

8. Rent Payable – Liability

9. Office Supplies – Asset

1. Prepaid Insurance – Asset

**Exercise 3.7**

**Chart of accounts, posting to T accounts, and trial balance**

**The general journal of Lenore Grunweld, Property Adviser, contained the entries below for the month of July 2025. GST is ignored.**

**General journal**

| Date | | Particulars | Post ref | Debit | Credit |
|---|---|---|---|---|---|
| 2025 | | | | | |
| July | 1 | Cash at bank | | 150 000 | |
| | | Lenore Grunweld, capital | | | 150 000 |
| | | (Cash invested by owner) | | | |
| | 9 | Cash at bank | | 15 000 | |
| | | Service fees revenue | | | 15 000 |
| | | (Fees for services performed) | | | |
| | 16 | Office equipment | | 32 000 | |
| | | Cash at bank | | | 3 200 |
| | | Accounts payable | | | 28 800 |
| | | (Office equipment for cash and on credit) | | | |
| | 22 | Service fees receivable | | 25 000 | |
| | | Service fees revenue | | | 25 000 |
| | | (Services performed on credit) | | | |
| | 31 | Cash at bank | | 10 000 | |
| | | Service fees receivable | | | 10 000 |
| | | (Cash received from client) | | | |

**Required**

**(a) Post the transactions to T accounts. The chart of accounts for the business included the following accounts:**

| | |
|---|---|
| Cash at Bank | 1–100 |
| Service Fees Receivable | 1–200 |
| Office Equipment | 1–300 |
| Accounts Payable | 2–100 |
| Lenore Grunweld, Capital | 3–100 |
| Service Fees Revenue | 4–100 |

**(b) Prepare a trial balance of the general ledger of Lenore Grunweld, Property Adviser as at 31 July 2025.**

**(LO2, LO4 and LO5)**

(a)

**Cash at Bank** **1-100**

| | | | | | |
|---|---|---|---|---|---|
| July 1 | Lenore Grunweld, Capital | $150 000 | July 16 | Office Equipment | $3 200 |
| July 9 | Service Fees | 15 000 | July 31 | Balance c/d | 171 800 |
| July 31 | Service Fees Receivable | 10 000 | | | |
| | | 175 000 | | | 175 000 |
| July 31 | Balance b/d | 171 800 | | | |

**Service Fees Receivable** **1-200**

| | | | | | |
|---|---|---|---|---|---|
| July 22 | Service Fees Revenue | $25 000 | July 31 | Cash at Bank | $10 000 |
| | | | July 31 | Balance c/d | 15 000 |
| | | 25 000 | | | 25 000 |
| July 31 | Balance b/d | 15 000 | | | |

**Office Equipment** **1-300**

| | | | | | |
|---|---|---|---|---|---|
| July 16 | Cash at Bank/Accounts Payable | $32 000 | | | |

**Accounts Payable** **2-100**

| | | | | | |
|---|---|---|---|---|---|
| | | | July 16 | Office Equipment | $28 800 |

**Lenore Grunweld, Capital** **3-100**

| | | | | | |
|---|---|---|---|---|---|
| | | | July 1 | Cash at Bank | $150 000 |

**Service Fees Revenue** **4-100**

| | | | | | |
|---|---|---|---|---|---|
| | | | July 9 | Cash at Bank | $15 000 |
| July 31 | Balance c/d | 40 000 | July 22 | Serv. Fees Rec'ble | 25 000 |
| | | 40 000 | | | 40 000 |
| | | | July 31 | Balance b/d | 40 000 |

(b)

| LENORE GRUNWELD, FINANCIAL ADVISER<br>Trial Balance<br>as at 31 July 2025 | | | |
|---|---|---|---|
| **Account** | **Account No.** | **Debit** | **Credit** |
| Cash at Bank | 1-100 | $171 800 | |
| Service Fees Receivable | 1-200 | 15 000 | |
| Office Equipment | 1-300 | 32 000 | |
| Accounts Payable | 2-100 | | $28 800 |
| Lenore Grunweld, Capital | 3-100 | | 150 000 |
| Service Fees Revenue | 4-100 | | 40 000 |
| | | $218 800 | $218 800 |

**Exercise 3.13**

**Preparation of corrected trial balance**

**Nigel's Gardening Services trial balance presented below does not balance. In examining the general journal and the general ledger you discover the following information. Ignore GST.**

1. **The balance in the Mortgage Payable account is $5400.**
2. **A purchase of lawnmower fuel for cash of $180 was erroneously recorded as a purchase on credit.**
3. **The debits and credits to Accounts Receivable totaled $7600 and $5400 respectively.**
4. **A $550 payment for salaries was not posted to the Cash at Bank account.**
5. **The debit to record a withdrawal of $600 in cash by the owner was not posted.**

**NIGEL'S GARDENING SERVICES**
**Trial balance**
as at 30 June 2025

| Account | Debit | Credit |
|---|---|---|
| Cash at bank | $ 2 400 | |
| Accounts receivable | 530 | |
| Supplies | 8 200 | |
| Equipment | 420 | |
| Accounts payable | | $ 2 160 |
| Salaries payable | | 2 980 |
| Mortgage payable | | 4 500 |
| Nigel Mower, capital | | 6 400 |
| Nigel Mower, drawings | 6 220 | |
| Service revenue | | 13 800 |
| Salaries expense | 5 100 | |
| Rent expense | 3 200 | |
| Other expense | 2 950 | |
| | $29 020 | $29 840 |

**Required**
**(a) Prepare a corrected trial balance.**

(a)

| NIGEL'S GARDENING SERVICES<br>Trial Balance<br>as at 30 June 2025 | | |
|---|---|---|
| | **Debit** | **Credit** |
| Cash at bank | $1 670 | |
| Accounts receivable | 2 200 | |
| Supplies | 8200 | |
| Equipment | 420 | |
| Accounts payable | | $1980 |
| Salaries payable | | 2980 |
| Mortgage payable | | 5 400 |
| Nigel Mower, Capital | | 6 400 |
| Nigel Mower, Drawings | 6 820 | |
| Service revenue | | 13 800 |
| Salary expense | 5 100 | |
| Rent expense | 3 200 | |
| Other expense | 2 950 | |
| | $30 560 | $30560 |

**Problem 3.16**

**Journal entries, posting to ledger, and trial balance**

**Non-GST version**

**On 1 July 2024 Tanya Arthur opened a hairdressing salon. The following transactions occurred during the first month of operations (ignore GST).**

| | |
|---|---|
| July 2 | Arthur invested $120 000 in the business by depositing cash into a business account with the Eastpac Bank. |
| 2 | Paid $1800 for the first month's rent with a bank transfer. |
| 3 | Purchased equipment by an online bank transfer for $32 000 and signed a commercial loan agreement for $38 000. |
| 4 | Purchased supplies for $8400 via electronic transfer. |
| 6 | Paid advertising expense of $1230 using online bank transfer. |
| 16 | Recorded services revenue for the first half of the month of $3250 in direct debits and $620 on credit. |
| 20 | Paid insurance expense for July of $480 using an online bank transfer. |
| 23 | Received a $140 payment from customers who paid on credit in the first half of the month. |
| 28 | Arthur withdrew $560 cash for personal living expenses. |
| 31 | Recorded revenue for the second half of the month of $3680 in direct debits and $580 on credit. |
| 31 | Paid telephone account of $260 by electronic transfer. |

**Use the following account titles and numbers: Cash at Bank, 100; Accounts Receivable, 101; Supplies, 102; Equipment, 103; Loan Payable, 200; Tanya Arthur, Capital, 300; Tanya Arthur, Drawings, 301; Revenue, 400; Rent Expense, 500; Advertising Expense, 501; Insurance Expense, 502; Telephone Expense, 503.**

**Required**

**(a) Prepare the general journal entries to record the transactions.**

**(b) Post the entries from the general journal to the general ledger accounts (running balance format) and enter the posting references in the general journal.**

**(c) Prepare a trial balance as at 31 July 2024.**

**(LO3, LO4 and LO5)**

(a)

**General Journal**

| | | | | | |
|---|---|---|---|---|---|
| July | 2 | Cash at Bank | 100 | 120 000 | |
| | | Tanya Arthur, Capital | 300 | | 120 000 |
| | | Cash invested by owner. | | | |
| | 2 | Rent Expense | 500 | 1 800 | |
| | | Cash at Bank | 100 | | 1 800 |
| | | Rent paid. | | | |
| | 3 | Equipment | 103 | 70 000 | |
| | | Cash at Bank | 100 | | 32 000 |
| | | Loan Payable | 200 | | 38 000 |
| | | Equipment purchased for cash and loan payable. | | | |
| | 4 | Supplies | 102 | 8 400 | |
| | | Cash at Bank | 100 | | 8 400 |
| | | Supplies purchased. | | | |
| | 6 | Advertising Expense | 501 | 1230 | |
| | | Cash at Bank | 100 | | 1230 |
| | | Cash paid for advertising. | | | |
| | 16 | Cash at Bank | 100 | 3 250 | |
| | | Accounts Receivable | 101 | 620 | |
| | | Revenue | 400 | | 3 870 |
| | | Revenue for first half of month | | | |
| | 20 | Insurance Expense | 502 | 480 | |
| | | Cash at Bank | 100 | | 480 |
| | | Cash paid for insurance | | | |
| | 23 | Cash at Bank | 100 | 200 | |
| | | Accounts Receivable | 101 | | 200 |
| | | Receipt of payment from customers | | | |

| | | | | |
|---|---|---|---|---|
| 28 | Tanya Arthur, Drawings | 301 | 560 | |
| | Cash at Bank | 100 | | 560 |
| | Drawings by owner | | | |
| 31 | Cash at Bank | 100 | 3 680 | |
| | Accounts Receivable | 101 | 580 | |
| | Revenue | 400 | | 4 260 |
| | Revenue for second part of month | | | |
| 31 | Telephone Expense | 503 | 440 | |
| | Cash at Bank | 100 | | 440 |
| | Telephone expenses paid | | | |

(b)

**ACCOUNT: Cash at Bank** **Account No. 100**

| Date | | Explanation | Post Ref | Debit | Credit | Balance |
|---|---|---|---|---|---|---|
| 2024 | | | | | | |
| 2 | 7 | Tanya Arthur, Capital | | 120 000 | | 120 000 |
| 2 | 7 | Rent Expense | | | 1 800 | 118 200 |
| 3 | 7 | Equipment | | | 32 000 | 86 200 |
| 4 | 7 | Supplies | | | 8 400 | 77 800 |
| 6 | 7 | Advertising Expense | | | 1 230 | 76 570 |
| 16 | 7 | Revenue | | 3 250 | | 79 820 |
| 20 | 7 | Insurance Expense | | | 480 | 79 340 |
| 23 | 7 | Accounts Receivable | | 200 | | 79 540 |
| 28 | 7 | Tanya Arthur, Drawings | | | 560 | 78 980 |
| 31 | 7 | Revenue | | 3 680 | | 82 660 |
| 31 | 7 | Telephone Expense | | | 440 | 82 220 |

**ACCOUNT: Accounts Receivable** **Account No. 101**

| Date | | Explanation | Post Ref | Debit | Credit | Balance |
|---|---|---|---|---|---|---|
| 2024 | | | | | | |
| 16 | 7 | Revenue | | 620 | | 620 |
| 23 | 7 | Cash at Bank | | | 200 | 420 |
| 31 | 7 | Revenue | | 580 | | 1 000 |

**ACCOUNT: Supplies** **Account No. 102**

| Date | | Explanation | Post Ref | Debit | Credit | Balance |
|---|---|---|---|---|---|---|
| 2024 | | | | | | |
| 4 | 7 | Cash at Bank | | 8 400 | | 8 400 |

**ACCOUNT: Equipment** **Account No. 103**

| Date | | Explanation | Post Ref | Debit | Credit | Balance |
|---|---|---|---|---|---|---|
| 2024 | | | | | | |
| 3 | 7 | Cash and Loan Payable | | 70 000 | | 70 000 |

**ACCOUNT: Loan Payable** **Account No. 200**

| Date | | Explanation | Post Ref | Debit | Credit | Balance |
|---|---|---|---|---|---|---|
| 2024 | | | | | | |
| 3 | 7 | Equipment | | | 38 000 | 38 000 |

**ACCOUNT: Tanya Arthur, Capital** **Account No. 300**

| Date | | Explanation | Post Ref | Debit | Credit | Balance |
|---|---|---|---|---|---|---|
| 2024 | | | | | | |
| 2 | 7 | Cash at Bank | | | 120 000 | 120 000 |

**ACCOUNT: Tanya Arthur, Drawings** **Account No. 301**

| Date | | Explanation | Post Ref | Debit | Credit | Balance |
|---|---|---|---|---|---|---|
| 2024 | | | | | | |
| 28 | 7 | Cash at Bank | | 560 | | 560 |

**ACCOUNT: Revenue** **Account No. 400**

| Date | | Explanation | Post Ref | Debit | Credit | Balance |
|---|---|---|---|---|---|---|
| 2024 | | | | | | |
| 16 | 7 | Cash and Accounts Receivable | | | 3 870 | 3 870 |
| 31 | 7 | Cash and Accounts Receivable | | | 4 260 | 8 130 |

**ACCOUNT: Rent Expense** **Account No. 500**

| Date | | Explanation | Post Ref | Debit | Credit | Balance |
|---|---|---|---|---|---|---|
| 2024 | | | | | | |
| 2 | 7 | Cash at Bank | | 1 800 | | 1 800 |

**ACCOUNT: Advertising Expense** **Account No. 501**

| Date | | Explanation | Post Ref | Debit | Credit | Balance |
|---|---|---|---|---|---|---|
| 2024 | | | | | | |
| 6 | 7 | Cash at Bank | | 1 230 | | 1 230 |

**ACCOUNT: Insurance Expense** **Account No. 502**

| Date | | Explanation | Post Ref | Debit | Credit | Balance |
|---|---|---|---|---|---|---|
| 2024 | | | | | | |
| 20 | 7 | Cash at Bank | | 480 | | 480 |

**ACCOUNT: Telephone Expense** **Account No. 503**

| Date | Explanation | Post Ref | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2024 | | | | | |
| 31 \| 7 | Cash at Bank | | 440 | | 440 |

(c)

**TANYA ARTHUR HAIRDRESSING SALON**
**Trial Balance**
**as at 31 July 2024**

| Account | Account No. | Debit | Credit |
|---|---|---|---|
| Cash at Bank | 100 | $82 220 | |
| Accounts Receivable | 101 | 1 000 | |
| Supplies | 102 | 8 400 | |
| Equipment | 103 | 70 000 | |
| Loan Payable | 200 | | $38 000 |
| Tanya Arthur, Capital | 300 | | 120 000 |
| Tanya Arthur, Drawings | 301 | 560 | |
| Revenue | 400 | | 8 130 |
| Rent Expense | 500 | 1 800 | |
| Advertising Expense | 501 | 1 230 | |
| Insurance Expense | 502 | 480 | |
| Telephone Expense | 503 | 440 | |
| | | $166 130 | $166 130 |

**Problem 3.17**

**Preparing general ledger and trial balance**

**Non-GST version**

**Rearranging Dirt Diggers provides earth moving services with large tractors. In August the following transactions were undertaken by Rearranging Dirt Diggers. Ignore GST.**

| | |
|---|---|
| **August 1** | **M. V. Soil invested $500 000 into Rearranging Dirt Diggers established to provide earth moving services to the building construction industry.** |
| **2** | **Purchased a tractor for $880 000 using $200 000 credit from L. Bateup and borrowing the balance from Big Australian Bank.** |
| **4** | **Transferred the amount owing to L. Bateup using online banking facilities to make a direct bank transfer.** |
| **5** | **Paid $2800 to M. Karim for two weeks rent to 14 August.** |
| **9** | **Charged Prestige Housing $12 000 for earth moving services.** |
| **10** | **M.V. Soil withdrew $2000 cash to meet personal expenses.** |
| **12** | **Paid $2400 for advertising on local radio.** |
| **12** | **Received $7200 from Reliable Housing Builders for earth moving.** |
| **13** | **Charged Star Company $9600 and received $9000 from Hardie Company for earth moving services provided.** |
| **14** | **Received a bank transfer for $12 000 from Prestige Housing. Paid $4800 for fuel for the truck.** |

**Required**
**(a) Record all transactions directly into ledger T accounts and prepare a trial balance. (LO3 and LO5)**

(a) Ignoring GST.

**REARRANGING DIRT DIGGERS**
**General Ledger**

**Cash at Bank**

| | | | | | |
|---|---|---|---|---|---|
| 1/8 | MV Soil, Capital | $500 000 | 4/8 | Accounts Payable | $200 000 |
| 12/8 | Revenue | 7 200 | 5/8 | Rent Expense | 2 800 |
| 13/8 | Revenue | 9 000 | 10/8 | MV Soil, Drawings | 2 000 |
| 14/8 | Accounts Receivable | 12 000 | 12/8 | Advertising Expense | 2 400 |
| | | | 14/8 | Fuel Expense | 4 800 |
| | | | 14/8 | Balance c/d | 316 200 |
| | | $528 200 | | | $528 200 |
| 14/8 | Balance c/d | 316 200 | | | |

**Tractor**

| | | |
|---|---|---|
| 2/8 | Accounts Payable/Bank Loan | $880 000 |

**Accounts Receivable**

| | | | | | |
|---|---|---|---|---|---|
| 9/8 | Revenue | $12 000 | 14/8 | Cash at Bank | $12 000 |
| 13/8 | Revenue | 9 600 | 14/8 | Balance c/d | 9 600 |
| | | 21 600 | | | 21 600 |
| 14/8 | Balance b/d | 9 600 | | | |

**Accounts Payable**

| | | | | | |
|---|---|---|---|---|---|
| 4/8 | Cash at Bank | $200 000 | 2/8 | Tractor | $200 000 |

**Bank Loan**

| | | | | | |
|---|---|---|---|---|---|
| | | | 2/8 | Tractor | $680 000 |

**MV Soil, Capital**

| | | | | | |
|---|---|---|---|---|---|
| | | | 1/8 | Cash at Bank | $500 000 |

**MV Soil, Drawings**

| | | | | | |
|---|---|---|---|---|---|
| 10/8 | Cash at Bank | 2 000 | | | |

**Earth Moving Services Revenue**

| | | | | | |
|---|---|---|---|---|---|
| | | | 9/8 | Accounts Receivable | $12 000 |
| | | | 12/8 | Cash at Bank | 7 200 |
| | | | 13/8 | Accounts Receivable | 9 600 |
| | 14/8 Balance c/d | 37 800 | 13/8 | Cash at Bank | 9 000 |
| | | 37 800 | | | 37 800 |
| | | | 14/8 | Balance b/d | 37 800 |

**Rent Expense**

| | | | | | |
|---|---|---|---|---|---|
| 5/8 | Cash at Bank | 2 800 | | | |

**Advertising Expense**

| | | | | | |
|---|---|---|---|---|---|
| 12/8 | Cash at Bank | 2 400 | | | |

**Fuel Expense**

| | | | | | |
|---|---|---|---|---|---|
| 12/8 | Cash at Bank | 4 800 | | | |

**REARRANGING DIRT DIGGERS**
**Trial Balance**
**as at 14 August**

| | Debit | Credit |
|---|---|---|
| Cash at Bank | $316 200 | |
| Tractor | 880 000 | |
| Accounts Receivable | 9 600 | |
| Bank Loan | | $680 000 |
| MV Soil, Capital | | 500 000 |
| MV Soil, Drawings | 2 000 | |
| Earth Moving Services Revenue | | 37 800 |
| Rent Expense | 2 800 | |
| Advertising Expense | 2 400 | |
| Fuel Expense | 4 800 | |
| | $1 217 800 | $1 217 800 |